US Accruals & Cost Capture

Kebony Inc. — Accounting Team Training & Reference

Version 1.0 — March 2026

Audience: Accounting team, Controller, External accountant

Scope: Accrual engine, vendor bill clearing, freight/customs provisioning, analytical tags

The Big Picture

What the system does automatically, what needs manual action

```
CUSTOMER INVOICE  ──→  System computes accruals per line  ──→  STORED ON INVOICE
        │                                                          │
        │  (4 accrual types × each product line)                   │  (visible in margin report)
        │                                                          │
        ▼                                                          ▼
  END OF MONTH  ──→  EOM Accruals button  ──→  JOURNAL ENTRY  ──→  DR Expense (5801xx)
                                                                   CR Liability (2155xx)
        │
        │  (when vendor bill arrives)
        ▼
  VENDOR BILL  ──→  Manual: book against liability account  ──→  DR Liability (2155xx)
                                                                   CR AP (accounts payable)
                    Zero EBITDA impact — expense was already accrued
```

Key principle: The expense hits P&L at the time of sale (via accrual). When the actual vendor bill arrives, it clears the liability — no additional P&L impact.

The Four Accrual Types

Each type has specific rates, eligibility rules, and GL accounts

Accrual Type	Rate (Wood)	Rate (Accessory)	Eligibility	Expense (DR)	Liability (CR)	Partner on CR
Marketing	4.0%	1.5%	Distributor only	581000	215510	Distributor (fund)
Sales Rep Commission	Variable (per rep rate)		If rep assigned	588000	215520	Sales Rep (fund)
Royalties	5.0%	0%	Wood only, no consignment	584000	215540	Invoice customer
Management Fees	14.0%	5.0%	No consignment	586000	215530	Invoice customer
Freight	Manual entry (carrier estimate)		If freight entered	591000	215560	Invoice customer

Computation Base

All rates applied to `price_subtotal` of each invoice line (tax-excluded amount). Refund lines are negative (auto-reversed).

Consignment Exception

Products in category "Product in Consignment" get **zero royalties** and **zero management fees**. Marketing and sales rep commission still apply if other conditions met.

Marketing Accrual — Detailed Flow

Obligation to reimburse distributor marketing spend up to a ceiling

WHAT IT IS

- Kebony has a **contractual obligation** to reimburse distributors for marketing expenses
- The ceiling is computed as a **% of sales** to that distributor
- 4% on wood products, 1.5% on accessories
- Only applies to customers classified as **"Distributor"**

HOW THE SYSTEM COMPUTES IT

1. Customer invoice is posted
2. Each product line: check if customer = Distributor
3. If yes → apply rate × price_subtotal
4. Store amount on `x_studio_marketing_accrual_line_item`
5. Sum flows into invoice-level `x_studio_total_accruals_cost`

MONTHLY JE (EOM ACCRUALS BUTTON)

```
DR  581000 — Marketing Expense      $4,000
       analytic: N. Rockies (sales area)
CR  215510 — Marketing Liability    $4,000
       partner: Rex Lumber ← fund tracking!
```

CHECK REX'S FUND BALANCE

```
Partner Ledger → Account 215510 → Partner = Rex Lumber
→ Shows exactly how much Rex has left to claim
```

WHEN VENDOR BILL ARRIVES

```
Rex sends invoice for $3,200 marketing spend

DR  215510 — Marketing Liability    $3,200
       partner: Rex Lumber
CR  AP — Accounts Payable            $3,200

→ Zero P&L impact (expense was already booked)
→ Remaining $800 stays in Rex's fund
```

Important: The vendor bill MUST be booked against **215510** (liability) with **partner = Rex**. NOT against 581000 (expense). Otherwise you double-count.

Sales Rep, Royalties & Management Fees

Same principle — accrue at sale, clear with vendor bill

Sales Rep Commission

TRIGGER

Sales representative assigned on invoice (or inherited from customer)

RATE

Variable — per rep (stored on partner: `x_studio_sales_rep_rate`)

VENDOR BILL FROM

The sales representative (independent contractor)

```
DR 215520 (partner: rep name)
CR AP
Check balance: Partner Ledger → 215520 → rep
```

Royalties

TRIGGER

Wood products only. No consignment.

RATE

5% of price_subtotal

VENDOR BILL FROM

Kebony Holding (intercompany)

```
DR 215540 (clear liability)
CR AP
```

Management Fees

TRIGGER

All marketable products. No consignment.

RATE

14% wood, **5%** accessories

VENDOR BILL FROM

Kebony Holding (intercompany)

```
DR 215530 (clear liability)
CR AP
```

Rule for ALL vendor bills against accruals: Always book on the **liability account** (2155xx), never on the expense account (5801xx). The expense was already recognized at the time of sale. The vendor bill only clears the balance sheet provision.

Invoice-Level Overrides

Three toggle switches to disable accruals for specific invoices

Toggle	Effect when unchecked	Use case
Compute Marketing	Marketing accrual = 0 for all lines	Promotional shipment, no marketing obligation
Compute Royalties	Royalties = 0 for all lines	Internal transfer, exceptional deal
Compute Mgmt Fees	Management fees = 0 for all lines	Exceptional deal structure

All three default to **checked** (accruals active). Uncheck before clicking the margin recompute button.

RATE OVERRIDES (NEW)

Each rate can be adjusted per invoice in **Other Info → Rate Overrides**:

Marketing (Wood)	default 4%
Marketing (Accessory)	default 1.5%
Royalty	default 5%
Mgmt Fees (Wood)	default 14%
Mgmt Fees (Accessory)	default 5%

Recompute Flow

```
1. Open posted customer invoice
2. Adjust toggles if needed
3. Click "Recompute Margin" button
4. System recalculates:
     → Accruals per line (4 types)
     → COGS (dropship / stock / consignment)
     → Net sales (incl. down payments, credit notes)
     → Freight, warehousing, other adjustments
     → Final margin & margin %
```

End-of-Month Accrual Journal Entry

The EOM Accruals button on the Accounting Hub

WHAT THE BUTTON DOES

1. **Scans** all posted invoices with un-accrued lines
2. **Groups** amounts by type × sales area × partner
3. **Creates** one journal entry with paired lines:
   - DR: Expense (581000/588000/584000/586000/591000) + **sales area analytic**
   - CR: Liability (215510/520/530/540/560) + **partner** (distributor or rep)
4. **Collects freight** from invoice header (manual amount)
5. **Marks** all processed lines + freight invoices as accrued

> **Idempotent:** Running the button twice won't double-accrue. Lines are flagged after first run.

EXAMPLE JE OUTPUT

```
Accrual Journal Entry — March 2026
──────────────────────────────────────────────────────
DR  581000 Marketing Expense        $12,450
       analytic: N. Rockies
CR  215510 Marketing Liability      $12,450
       partner: Rex Lumber
──────────────────────────────────────────────────────
DR  584000 Royalties Expense         $6,800
       analytic: N. Rockies
CR  215540 Royalties Liability       $6,800
       partner: Rex Lumber
──────────────────────────────────────────────────────
DR  588000 Sales Rep Expense         $3,200
       analytic: N. Rockies
CR  215520 Sales Rep Liability       $3,200
       partner: Sam Brown (rep)
──────────────────────────────────────────────────────
DR  591000 Freight Expense           $1,800
       analytic: N. Rockies
CR  215560 Freight Liability         $1,800
       partner: Rex Lumber
```

Vendor Bill Clearing — Zero P&L Impact

When the actual bill arrives, it clears the liability — NOT the expense

CRITICAL: CORRECT BOOKING

Vendor Bill From	Book Against	With Partner
Distributor (marketing)	DR 215510 / CR AP	The distributor
Sales representative	DR 215520 / CR AP	The sales rep
Kebony Holding (royalties)	DR 215540 / CR AP	Kebony Holding
Kebony Holding (mgmt fees)	DR 215530 / CR AP	Kebony Holding
Carrier (freight)	DR 215560 / CR AP	The customer

NEVER book vendor bills against expense accounts (581000, 588000, etc.). The expense was already recognized via the EOM accrual. Booking against expense = double-counting.

MONTHLY RECONCILIATION

- **Balance 215510:** Accrued marketing minus vendor bills received = *outstanding obligation*
- **Over-accrual:** If vendor bills < accrued → release excess at year-end
- **Under-accrual:** If vendor bills > accrued → book additional expense

PARTNER = THE KEY TO FUND TRACKING

Always set the Partner on liability lines

When booking the vendor bill against a liability account, **always set the same partner** that was used on the original accrual. This is how you track each distributor's fund balance.

To check a fund balance: Partner Ledger → filter account (e.g. 215510) + partner (e.g. Rex Lumber). The balance = amount Rex can still claim.

Freight & Customs — Closing the Landed Cost Loop

IAS 2 / US GAAP requires full acquisition cost in inventory. Today it's manual and error-prone. We automate it.

THE PROBLEM TODAY

When goods arrive from abroad, freight and customs bills often lag by **2-6 weeks**. Until those costs are allocated, inventory is **undervalued** and margin is **overstated**.

The manual process requires the controller to:

1. Remember that a receipt needs a landed cost provision
2. Estimate freight + customs amounts
3. Create an accrual journal entry
4. Create a Landed Cost object in Odoo
5. Link it to the correct receipt
6. Choose the right split method
7. Validate to update valuation layers
8. When the bill arrives weeks later — reverse, redo at actual

8 manual steps, any of which can be forgotten. If step 1 is missed, inventory is wrong until someone notices — often at year-end audit.

THE SOLUTION: LINKED COST POS (CUSTOM DEV)

A goods PO (e.g. wood from Brazil) gets **linked Cost POs** for freight and customs. The system handles everything automatically:

```
GOODS PO ─── linked to ──┬── PO-Freight (forwarder)
  wood from Brazil       └── PO-Customs (broker)
        │
        ▼  receipt validated
        │
  For each linked Cost PO:
        │
  Bill posted? ── YES ──→ auto-create Landed Cost
        │                  source = vendor bill
        NO                 split across receipt lines ✓
        │
        ▼
  Auto-create accrual JE (estimated from PO)
  Auto-create Landed Cost
  source = accrual JE
  split across receipt lines ✓
        │
        ▼  bill arrives later
        │
  Auto-reverse accrual
  Auto-create new Landed Cost at actual
  Delta absorbed + re-split ✓
```

Zero manual steps. The controller only needs to create the Cost POs at purchase time. Everything else — accrual, allocation, settlement — is automated.

Automated Landed Cost — How It Works

Three triggers, fully automated, using Odoo's native Landed Cost engine for proper cost allocation

TRIGGER 1 — RECEIPT VALIDATED

```
Receipt WH/IN/00123 validated
System finds goods PO → finds linked Cost POs:

PO-Freight ($8,500) — no bill yet
  → Auto-create accrual JE:
     DR 110410 Landed Cost Clearing  $8,500
     CR 211000 GRNI Accrual          $8,500
  → Auto-create Landed Cost:
     Transfer: WH/IN/00123
     Source: accrual JE
     Split: by value across receipt lines
  → Validate → valuation layers updated

PO-Customs ($2,200) — bill already posted
  → Auto-create Landed Cost:
     Transfer: WH/IN/00123
     Source: vendor bill
     Split: by value across receipt lines
  → Validate → valuation layers updated

Chatter message on goods PO: summary of what was created
```

TRIGGER 2 — VENDOR BILL POSTED

```
Freight bill arrives: $9,100 (vs $8,500 estimated)

System detects: this bill's PO is a linked Cost PO
  → Auto-reverse accrual JE ($8,500)
  → Cancel estimated Landed Cost
  → Auto-create new Landed Cost at actual ($9,100)
     Source: vendor bill
     Split: by value across original receipt lines
  → Validate → valuation layers corrected
  → Delta: +$600 properly split across products
```

TRIGGER 3 — EOM DASHBOARD

Pending Landed Cost Accruals

New section on the Accounting Hub showing all outstanding estimated Landed Costs:

Receipt	Goods PO	Cost PO	Est. Amount	Days Open
WH/IN/00123	PO-001	PO-Freight	$8,500	42 days
WH/IN/00156	PO-012	PO-Customs	$1,800	12 days

Items > 30 days highlighted as overdue. Controller follows up with vendor.

WHY NATIVE LANDED COST MATTERS

Proper cost allocation vs lump-sum journal entry

A manual JE (DR Inventory / CR Accrual) puts a **lump sum** on inventory without distributing it across products on the receipt.

By using Odoo's native **Landed Cost object**, the system splits the cost across receipt lines using the chosen method (by value, quantity, or weight). Same quality of allocation whether the bill has arrived or not.

IMPLEMENTATION

Component	Effort
New fields (linked Cost POs on purchase.order)	1 day
Receipt trigger (auto-accrual + Landed Cost)	2 days
Bill trigger (auto-reverse + re-allocate at actual)	1.5 days
EOM dashboard + edge cases + testing	2.5 days
Total	**7 days**

Analytical Tags — Sales Area

Every transaction must carry the right Sales Area for reporting

WHERE SALES AREA LIVES

Document	Field	Populated by
Customer (partner)	`x_studio_area_of_sales`	Master data (manual)
Customer Invoice	`x_studio_area_of_sales`	Auto from customer
Invoice line	`analytic_distribution`	Auto from invoice/SO
EOM Accrual JE	`analytic_distribution`	Copied from invoice lines
Vendor bill (clearing)	`analytic_distribution`	**MANUAL — must match**

Critical: When booking a vendor bill against a liability account (2155xx), the accounting team **must set the same Sales Area analytical tag** as the original accrual. Otherwise the liability balance by area becomes unreliable.

WHY IT MATTERS

Profitability by Sales Area

Management needs margin analysis by geographic area. If revenue is tagged "East Canada" but the corresponding accrual clearing is untagged (or tagged differently), the area P&L becomes meaningless.

Reconciliation by Area

Monthly liability reconciliation (215510/520/530/540) should be done **per Sales Area**. Each area should show:

- Opening balance (accrued)
- + New accruals (EOM JE)
- – Vendor bills received
- = Closing balance (outstanding obligation)

Future: Product Group Analytic

A second analytical dimension (KSP, KRRS, KR) will be added for product-group profitability. Same tagging discipline applies.

Monthly Close — Accrual Checklist

Step-by-step procedure for the accounting team

BEFORE EOM

#	Action	Who
1	Ensure all customer invoices are **posted**	AR
2	Run **Recompute Margin** on any invoice missing COGS	Controller
3	Review override toggles on special invoices	Controller
4	Verify Sales Area tag on all invoices	AR

EOM CLOSE

#	Action	Who
5	Click **EOM Accruals** on Accounting Hub	Controller
6	Review generated JE — check amounts, analytics	Controller
7	Post the accrual JE	Controller

VENDOR BILL PROCESSING

#	Action	Who
8	Book vendor bills against **liability accounts** (2155xx)	AP
9	Set **same partner** as the accrual (distributor / rep)	AP
10	Match bill to accrual type (marketing/rep/royalty/mgmt/freight)	AP

MONTHLY RECONCILIATION

#	Action	Who
11	Reconcile each 2155xx account **by Partner** (Partner Ledger)	Controller
12	Investigate large outstanding balances per distributor/rep	Controller
13	Release over-accruals (year-end or quarterly)	CFO
14	Book additional expense for under-accruals	CFO

GRNI review: Also check open freight/customs POs (PO-002 type). If goods received but bill not yet → provision is active. If bill overdue → follow up with vendor.

GL Account Map — Full Reference

All accounts involved in the accrual and cost capture cycle

Account	Name	Type	Used For	DR when	CR when
581000	Marketing Expense	P&L	Accrual booking	EOM accrual JE (+ sales area)	—
215510	Marketing Accrual	BS	Fund per distributor	Vendor bill (+ partner)	EOM accrual JE (+ partner)
588000	Sales Rep Expense	P&L	Accrual booking	EOM accrual JE (+ sales area)	—
215520	Sales Rep Accrual	BS	Fund per sales rep	Vendor bill (+ partner)	EOM accrual JE (+ partner)
584000	Royalties Expense	P&L	Accrual booking	EOM accrual JE (+ sales area)	—
215540	Royalties Accrual	BS	Accrual provision	Vendor bill (+ partner)	EOM accrual JE (+ partner)
586000	Mgmt Fees Expense	P&L	Accrual booking	EOM accrual JE (+ sales area)	—
215530	Mgmt Fees Accrual	BS	Accrual provision	Vendor bill (+ partner)	EOM accrual JE (+ partner)
591000	Freight & Tariffs	P&L	Freight accrual	EOM accrual JE (+ sales area)	—
215560	Freight Accrual	BS	Freight provision	Carrier bill (+ partner)	EOM accrual JE (+ partner)
110100	Inventory	BS	Stock valuation	Landed cost applied	COGS on sale
110410	Landed Cost Clearing	BS	Freight/customs provision	Month-end GRNI	Bill received
211000	GRNI Accrual	BS	Goods received, not invoiced	Bill received	Month-end provision

Colour coding: P&L accounts are hit once (at accrual time). BS accounts are hit twice (accrual + clearing). Orange rows = freight/customs/inventory accounts.

Initial Backfill — Jan 2026 to Today

One-time catch-up to accrue all historical invoices since January

WHY THIS IS NEEDED

Invoices posted since January 2026 have accrual **amounts computed** on each line (via margin button) but **no journal entry** has been posted yet. The liability accounts (2155xx) are empty.

We need a catch-up JE to recognize all accruals from Jan 1 to today.

3-STEP PROCEDURE

#	Action	Where
1	**Recompute Margin** on all historical invoices (ensures accrual amounts are populated on lines)	Each invoice → "Recompute Margin (US)"
2	**Reset Accrual Flags** (clears is_accrued so EOM picks up all lines)	Accounting Hub → "Reset Accrual Flags"
3	**Run EOM Accruals** (creates one catch-up JE for all historical invoices)	Accounting Hub → "Run EoM Accruals (US)"

WHAT THE CATCH-UP JE LOOKS LIKE

```
Catch-Up Accrual JE — March 2026
Covers: Jan 1 → Mar 31 2026 (all invoices)
---------------------------------------------
DR  581000 Marketing         $48,200
       grouped by sales area
CR  215510 Mkt Liability     $48,200
       per distributor (partner)
---------------------------------------------
DR  588000 Sales Rep         $12,800
CR  215520 Rep Liability     $12,800
       per sales rep (partner)
---------------------------------------------
... royalties, mgmt fees, freight ...
```

Date: The catch-up JE is dated today. If you need monthly splits for cleaner period reporting, reverse this JE and re-run with date filters per month (future enhancement).

Warning: "Reset Accrual Flags" is for initial setup only. In normal monthly operations, the EOM engine is incremental — it only picks up new, un-accrued invoices.